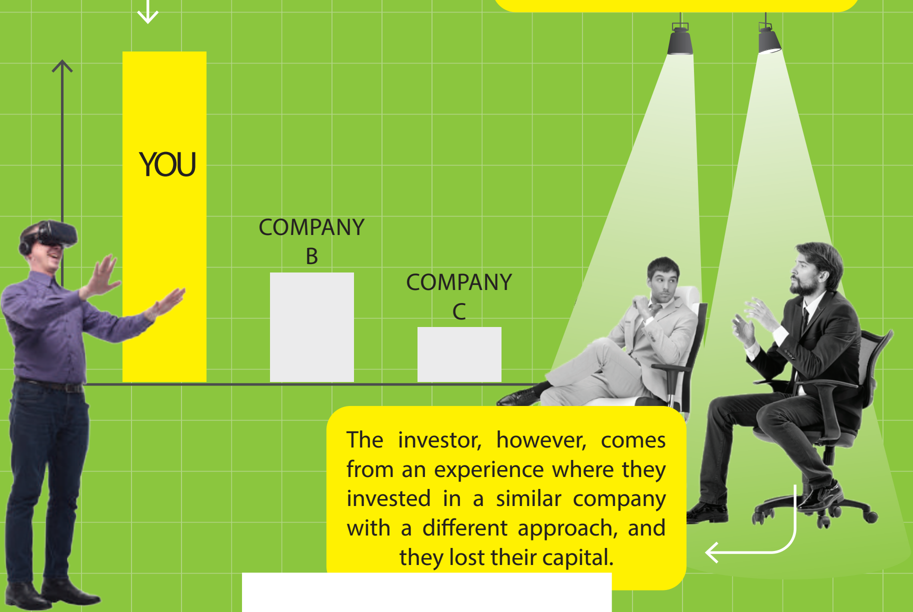
## 3. INVESTORS'S THOUGHT PROCESS


The founders have spent a lot of time in their particular field that is, in all probability, less familiar to the investor. They might have gained an understanding of a few industries, but not others are new to them. Thus an idea that sounds great to the founders might not ring a bell with the investor as there may be a gap in understanding about the industry.


Investors do not think as founders think. Investors make decisions based on their education, experience, assumptions, and their worldview. If a company fits into their thought process, then there is a chance that they will invest. If companies do not fit into their assumptions and view of things, they will clearly give the idea a pass.

Let us take an example where your company is going to build the next big thing in the market.




The investor, however, comes from an experience where they invested in a similar company with a different approach, and they lost their capital.

Thus, the investors' poor experience in the previous case works against you.